

NAFT · PRO EBOOK

Prop Firm Playbook

Pass evaluations & scale your funded account

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How to Pass FTMO, MyFundedFX & Any Prop Challenge — First Time

The No-BS Guide to Getting Funded, Staying Funded, and Actually Making Money

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CHAPTER 1: WHAT IS A PROP FIRM & WHY SHOULD YOU CARE?

Listen. Let Me Tell You Something.

You don't need £50,000 in a bank account to trade like someone who has £50,000. That's the whole point of prop firms. They give you THEIR money to trade with. You keep a cut of the profits — usually 80% to 90%.

But here's the catch. You've got to prove you can handle it first. That's the challenge. And most people fail it. Not because they're bad traders — but because they don't understand the game they're playing.

How It Works — Dead Simple

STEP 1: You pay a fee (£100 to £500 depending on account size)
STEP 2: You trade a demo account under strict rules
STEP 3: Hit the profit target without breaking rules
STEP 4: You get a "funded account" – real capital, real profits
STEP 5: Trade, withdraw profits, repeat

Why This Is a Game-Changer

- **No personal risk** — you're trading their capital, not yours
- **Leverage your skill** — even with £200, you can trade a £100K account
- **Scalable** — pass multiple challenges, stack funded accounts
- **No boss** — trade from anywhere, keep 80-90% of what you make

The Reality Check

I'm not going to lie to you. Most people fail their first challenge. The stats are brutal — somewhere around 80-90% failure rate across the industry.

But that's actually good news for YOU. Because the reason they fail is stupid, avoidable mistakes. And by the time you finish this book, you won't make those mistakes.

CHAPTER 2: THE BIG PLAYERS — WHICH FIRM IS RIGHT FOR YOU?

The Firms Worth Your Time in 2026

Firm	Account Sizes	Profit Split	Challenge Fee (100K)	Time Limit	Style
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FTMO	\$10K-\$200K	80-90%	~\$540	30 + 60 days	2-phase
MyFundedFX	\$5K-\$300K	80-85%	~\$499	30 + 60 days	2-phase
Funded Next	\$6K-\$200K	80-90%	~\$549	Phase-based	2-phase
The 5%ers	\$6K-\$4M	50-100%	~\$260	No time limit	Instant/growth

True Forex Funds \$10K-\$400K 80% ~\$549 30 + 60 days 2-phase
E8 Funding \$25K-\$250K 80% ~\$588 30 + 60 days 2-phase
Surge Trader \$25K-\$1M 75-90% ~\$499 No time limit 1-phase

How to Pick the Right One

If you're a beginner: Start with a smaller account size (£10K-25K). The fee is cheaper, the pressure is lower, and you learn the process.

If you're experienced: Go for £100K+ accounts. The profit split makes it worth it.

If you hate time pressure: Choose firms with no time limit (The 5%ers, Surge Trader).

If you want fast funding: Look at 1-phase challenges or instant funding options.

My Honest Take

FTMO is the gold standard. They've been around longest, payout is reliable, and the rules are clear. Start there. Once you've passed one, branch out.

But here's what matters more than the firm — YOU understanding the rules and playing within them. That's chapters 3 and 5. Don't skip them.

CHAPTER 3: CHALLENGE RULES DECODED

The Rules They Give You (And What They Actually Mean)

Every prop firm has variations, but the core rules are almost always:

RULE 1: Daily Drawdown Limit (usually 5%)	
RULE 2: Maximum Overall Drawdown (usually 10%)	
RULE 3: Profit Target (usually 8-10% Phase 1, 5% Phase 2)	
RULE 4: Minimum Trading Days (usually 4-5 days)	
RULE 5: No holding over weekends (some firms)	
RULE 6: No news trading (some firms)	
RULE 7: Consistency rules (some firms)	

Rule 1: Daily Drawdown — THE ACCOUNT KILLER

This is where 70% of people fail. Pay attention.

What it means: On any single day, your account cannot drop more than 5% from the STARTING BALANCE OF THAT DAY (or highest balance of the day — depends on the firm).

Example on a \$100,000 account:

- Day starts at \$102,000 (you made money yesterday)
- Your daily drawdown limit = 5% of \$102,000 = \$5,100
- If your account hits \$96,900 at ANY point during the day = FAILED

The trap: It resets daily based on your EQUITY at day start. So if you're up, your floor rises. This means you can't "risk your profits freely" — they're now part of your drawdown calculation.

Rule 2: Maximum Overall Drawdown

What it means: Your account can never drop below 90% of the INITIAL starting balance. Ever. Not even for a second.

Example: \$100,000 account → Account can NEVER go below \$90,000.

This one doesn't reset. It's a hard floor from day one to forever.

Rule 3: Profit Target

Phase 1: Usually 8-10% (\$8,000-\$10,000 on a \$100K account)

Phase 2: Usually 5% (\$5,000 on a \$100K account)

You need to hit this target WITHOUT breaking rules 1 and 2. That's the game.

The Math That Matters

Here's what most people don't calculate:

Account: \$100,000
Daily drawdown limit: 5% = \$5,000
Max risk per trade: 1% = \$1,000
Trades to blow daily limit: 5 losing trades

Profit target: 8% = \$8,000
Average win at 1:2 RR: \$2,000
Wins needed: 4 clean wins

So you need 4 good wins before 5 losses. With a 50% win rate and 1:2 risk-reward, the maths works easily. The challenge isn't impossible — it just requires DISCIPLINE.

Time Limits — Don't Rush

Most firms give you 30 days for Phase 1. That's 20+ trading days. You only need 4-8 good trades to pass.

Do the maths: You need \$8,000 profit. At 1% risk (\$1,000) and 1:2 reward (\$2,000 per win) — that's just 4 winning trades in an entire month.

FOUR. TRADES. IN. A. MONTH.

Stop overtrading. That's the secret right there.

CHAPTER 4: THE STRATEGY THAT PASSES CHALLENGES

Forget Fancy — You Need Consistent

I'm going to give you the dead simple approach that's passed me multiple challenges. It's not exciting. It's not Instagram-worthy. But it works.

The "Boring but Funded" Strategy

Pairs: Stick to 2-3 major pairs maximum (EURUSD, GBPUSD, USDJPY)

Timeframe: H4 and Daily for direction. H1 or M15 for entry.

Sessions: London and New York only. Ignore Asia.

Setups: Only 2 types — and that's it.

Setup 1: The Liquidity Sweep + Order Block Entry

RULES:

1. Identify a clear swing high/low on H4
2. Wait for price to SWEEP that level (take the liquidity)
3. Look for an order block or FVG on M15 at that level
4. Enter on the retest of that order block
5. Stop loss: Below/above the sweep wick
6. Take profit: 1:2 minimum (next structure level)

Setup 2: The Break of Structure + Retest

RULES:

1. On H1, identify a clear break of structure (BOS)
2. Wait for price to pull back to the broken level

3. Look for a bullish/bearish engulfing candle on M15
4. Enter on the close of that candle
5. Stop loss: Beyond the pullback low/high
6. Take profit: 1:2 minimum (previous swing)

Why Only 2 Setups?

Because during a challenge, you need CERTAINTY. You need to know your setup so well that you can spot it in 3 seconds. You need confidence in your execution.

Two setups, practised 1,000 times each, will outperform 20 setups practised 100 times each. Every. Single. Time.

Position Sizing During a Challenge

This is non-negotiable:

PHASE 1 (need 8%):

- Risk per trade: 1% of account
- This means: \$1,000 risk on \$100K account
- At 1:2 RR: Each win = \$2,000 profit
- Wins needed: 4 wins to pass
- Max concurrent positions: 2

PHASE 2 (need 5%):

- Risk per trade: 0.75% of account
- This means: \$750 risk on \$100K
- At 1:2 RR: Each win = \$1,500 profit
- Wins needed: 3-4 wins to pass
- Max concurrent positions: 1

The "10 Trade Challenge" Rule

Give yourself a personal rule: You have 10 trades maximum to pass the challenge. That's it.

Why? Because this forces you to be selective. It forces you to wait for A+ setups only. And it stops you from revenge trading after a loss.

10 trades. 1:2 risk reward. 50% win rate = 5 wins x \$2,000 = \$10,000 profit. PASSED.

Even if you only win 4 out of 10 = \$8,000 profit - \$6,000 losses = \$2,000 net. Still on track.

CHAPTER 5: RISK RULES — THE ONLY THING THAT MATTERS

I'm Going to Say This Once

You can have the best strategy in the world. The best entries, the best analysis, the best indicators. None of it matters if your risk management is rubbish.

Risk management is not "part of" trading. Risk management IS trading.

The Non-Negotiable Rules

RULE 1: Never risk more than 1% per trade during a challenge
 RULE 2: Never have more than 2% total exposure at any time
 RULE 3: After 2 consecutive losses – STOP trading for the day
 RULE 4: After hitting 3% daily loss – CLOSE everything and walk away
 RULE 5: No moving stop losses further from entry. EVER.
 RULE 6: No averaging down. EVER.
 RULE 7: Set your SL and TP BEFORE entering. Then don't touch them.

The 2-Loss Rule (This Will Save Your Account)

Here's what happens to 90% of failed challenges:

```
Trade 1: Loss (-1%)    → "Okay, normal"
Trade 2: Loss (-1%)    → "I need to make it back"
Trade 3: Loss (-1%)    → "This is revenge trading but I can't stop"
Trade 4: Loss (-1.5%)  → "I'll size up to recover"
Trade 5: Loss (-2%)    → DAILY LIMIT BREACHED. FAILED.
```

See the pattern? It always starts with 2 normal losses. The damage happens on trades 3, 4, 5 — the emotional trades.

My rule: After 2 losses, you're done for the day. Close the platform. Go for a walk. Come back tomorrow with a clear head.

This single rule will save more challenges than any strategy ever will.

Lot Size Calculator — Know This by Heart

FORMULA:

$$\text{Lot Size} = (\text{Account Balance} \times \text{Risk \%}) \div (\text{Stop Loss in pips} \times \text{Pip Value})$$

EXAMPLE:
Account: \$100,000
Risk: 1% = \$1,000
Stop Loss: 25 pips
Pip Value (EURUSD, 1 standard lot): \$10/pip

$$\text{Lot Size} = \$1,000 \div (25 \times \$10) = \$1,000 \div \$250 = 4.0 \text{ lots}$$

QUICK REFERENCE TABLE (\$100K account, 1% risk):



Stop Loss	Lot Size	Risk Amount
10 pips	10.0 lots	\$1,000
15 pips	6.67 lots	\$1,000
20 pips	5.0 lots	\$1,000
25 pips	4.0 lots	\$1,000
30 pips	3.33 lots	\$1,000
40 pips	2.5 lots	\$1,000
50 pips	2.0 lots	\$1,000



The Drawdown Recovery Maths

Once you're in drawdown, the maths works against you:

Lost 5% → Need 5.3% to recover
 Lost 10% → Need 11.1% to recover
 Lost 20% → Need 25% to recover
 Lost 50% → Need 100% to recover

This is why preservation beats aggression. Every. Single. Time.

CHAPTER 6: DAILY ROUTINE OF A FUNDED TRADER

The Morning That Makes or Breaks You

Your morning sets the tone. A funded trader's day doesn't start when the market opens — it starts 30 minutes before.

TIME	ACTIVITY
07:00	Wake up. No phone for 15 mins.
07:15	Coffee + review economic calendar
07:30	Mark up charts — H4 and Daily levels
07:45	Identify 2-3 potential setups for the day
08:00	London open — OBSERVE first 30 minutes
08:30	Execute if setup triggers. If not — WAIT.
09:00-12:00	Active management / monitoring
12:00	Lunch. Step away from screens.
13:00	New York pre-market — check for setups
13:30-16:00	NY session trading
16:00	Close all trades (unless swing)
16:15	Journal the day — wins, losses, emotions
16:30	Done. Leave it alone.

The Trading Journal — Non-Negotiable

After every single trade, log this:

Date: _____
 Pair: _____

Direction: Long / Short
Entry reason: _____
Entry price: _____
Stop loss: _____
Take profit: _____
Risk amount: £_____

Result: Win / Loss / Breakeven
P&L: £_____

Screenshot: [attached]
Emotion before entry: _____
Emotion during trade: _____
Would I take this trade again? Yes / No
Notes: _____

Why Journaling Matters More Than You Think

I know. You think it's boring. You think it's a waste of time. But let me tell you something.

Every single funded trader I know journals. Every. One.

Because after 50 trades, you start seeing PATTERNS. You notice you always lose on Fridays. Or you always revenge trade after a morning loss. Or your win rate on GBPUSD is 70% but on EURJPY it's 30%.

That information is worth thousands. And you only get it by writing things down.

CHAPTER 7: COMMON MISTAKES THAT BLOW ACCOUNTS

Mistake 1: Overtrading

What it looks like: 5+ trades per day during a challenge.

Why it kills you: More trades = more exposure = more chances to break drawdown rules.

Fix: Maximum 2 trades per day. If both lose, you're done for the day.

Mistake 2: Moving Your Stop Loss

What it looks like: "Just giving it a bit more room..."

Why it kills you: That "bit more room" turns a 1% loss into a 3% loss. Now you're in trouble.

Fix: Once your SL is set, it's set. Treat it like it's carved in stone.

Mistake 3: Trading the News

What it looks like: Holding a position into NFP or rate decisions.

Why it kills you: 100-pip spikes in seconds. Slippage. Blown accounts.

Fix: Close all positions 30 minutes before high-impact news. No exceptions.

Mistake 4: Revenge Trading

What it looks like: "I'll just take one more trade to make back that loss..."

Why it kills you: Emotional decisions. Bigger lot sizes. Wider stops. Catastrophe.

Fix: 2-loss rule. After 2 losses, laptop shut. Done. Tomorrow.

Mistake 5: Changing Strategy Mid-Challenge

What it looks like: "My setup isn't working, let me try this indicator..."

Why it kills you: You're now trading something untested, under pressure, with real consequences.

Fix: Stick to your plan. A losing streak doesn't mean your strategy is broken. It means the market hasn't given you your setup yet.

Mistake 6: Ignoring the Daily Drawdown Reset

What it looks like: Not realising your drawdown floor has risen because you're in profit.

Why it kills you: You think you have 5% room but you actually have 3%.

Fix: Calculate your floor EVERY morning before you trade. Write it down.

Mistake 7: Trading Too Many Pairs

What it looks like: Charts for 15 pairs open simultaneously.

Why it kills you: You can't track them all properly. You take B-grade setups because "something's happening on AUDCAD."

Fix: 2-3 pairs maximum. Know them intimately.

Mistake 8: Not Understanding the Firm's Specific Rules

What it looks like: Holding over weekends when the firm doesn't allow it.

Why it kills you: Instant fail. Money wasted. Back to square one.

Fix: Read EVERY rule before you start. Print them out. Stick them on your monitor.

CHAPTER 8: PSYCHOLOGY UNDER PRESSURE

The Challenge Is 20% Skill, 80% Mental

Look, you already know how to trade. If you're buying a prop firm challenge, you've done the screen time. You know what a good setup looks like.

So why do people fail?

Because trading a challenge is DIFFERENT from trading your own small account. The pressure is different. The stakes feel different. And that changes how you think.

The 3 Psychological Traps

Trap 1: "I Need to Pass This"

The moment you NEED to pass, you're done. Because need creates pressure. Pressure creates rushed decisions. Rushed decisions create losses.

Reframe: "I'm going to trade my plan. If I pass, great. If not, I'll learn and try again. The fee is tuition, not a gamble."

Trap 2: "I'm Running Out of Time"

Week 3 of a 30-day challenge. You're at 4% profit. You need 8%. Panic sets in.

Reframe: "I only need 2 more good trades. That could happen in a single day. I don't need to force it. The setup will come."

Trap 3: "I'm So Close — Just One More Trade"

You're at 7.5% profit. Target is 8%. You take a garbage setup just to "finish it off." It goes against you. Now you're at 5.5%. Panic.

Reframe: "I'll wait for my A+ setup even if it takes 3 more days. I'd rather pass slowly than fail quickly."

The Detachment Technique

Before every trade, ask yourself:

"If this trade loses, will I be okay?"

If the answer is anything other than "yes, completely fine" — you're risking too much or you're too emotionally invested.

Funded traders are DETACHED from individual trades. They care about the process, not the outcome of any single trade.

Managing a Losing Streak

Everyone has losing streaks. 5 losses in a row is completely normal, even with a 60% win rate.

When it happens:

1. Take a full day off. Don't look at charts.
2. Review your journal — were the setups valid?
3. If yes: The market just didn't align. Keep going.
4. If no: You've deviated from your plan. Reset.
5. Reduce risk to 0.5% for the next 2-3 trades to rebuild confidence.

CHAPTER 9: AFTER YOU PASS — STAYING FUNDED

Passing Is Step 1. Staying Is the Real Game.

Congratulations, you passed. You've got a funded account. Now what?

Here's the truth nobody tells you: More people lose their funded accounts in the first month than in the challenge itself.

Why? Because they relax. They think the hard part is over. They get sloppy.

The Funded Account Mindset Shift

CHALLENGE MINDSET:	"I need to hit a target"
FUNDED MINDSET:	"I need to NOT lose"

Once you're funded, preservation becomes priority number one. You're no longer chasing a profit target. You're protecting your account from hitting drawdown limits.

Funded Account Risk Adjustment

DURING CHALLENGE: 1% risk per trade
ONCE FUNDED: 0.5-0.75% risk per trade

Why reduce? Because:

- There's no time pressure
- Your goal is consistent monthly income
- One bad week can lose your funded account permanently
- Withdrawals come from CONSISTENCY, not home runs

The Withdrawal Strategy

Most firms require a minimum trading period before your first withdrawal (usually 14-30 days).

Smart withdrawal approach:

Month 1: Trade conservatively. Build a 5-8% buffer above starting balance.
Month 2: Withdraw 50% of profits. Leave 50% as cushion.
Month 3+: Withdraw 60-70% of profits. Always keep a buffer.

Never withdraw everything. Always leave a cushion so one bad day doesn't breach drawdown from your initial balance.

Scaling Up — Multiple Accounts

Once you've proven you can stay funded on one account, the move is:

```
Account 1: $100K funded → earning $2-4K/month  
Account 2: $100K funded → earning $2-4K/month  
Account 3: $200K funded → earning $4-8K/month  
  
████████████████████████████████████████████  
TOTAL: $400K in funded capital, $8-16K/month potential
```

This is how prop firm traders build serious income. Not one big account — multiple consistent accounts.

CHAPTER 10: QUICK REFERENCE & CHEAT SHEETS

Pre-Challenge Checklist

- Read ALL firm rules (print them out)
- Know your daily drawdown limit (calculate exact figure)
- Know your max overall drawdown (calculate exact figure)
- Decided on 2-3 pairs only
- Strategy backtested (minimum 50 trades)
- Risk per trade decided (max 1%)

- Maximum trades per day decided (max 2-3)
- Trading journal set up
- Economic calendar bookmarked
- Stop loss and take profit rules written down
- "2-loss rule" committed to
- Emergency plan if close to drawdown limit

The Challenge Pass Formula

■	Account size: \$100,000	■
■	Profit target: 8% = \$8,000	■
■	Risk per trade: 1% = \$1,000	■
■	Risk-reward ratio: 1:2	■
■	Reward per win: \$2,000	■
■	Wins needed to pass: 4	■
■	At 50% win rate: ~8 trades total	■
■	Trading days available: 20+	■
■	Trades per day: 1-2 max	■
■		■
■	CONCLUSION: You need 4 good trades in a month.	■
■	That's ONE good trade per week.	■
■	STOP. OVERTRADING.	■

Emergency Protocol (When You're Close to Drawdown)

IF account is within 3% of maximum drawdown:

- REDUCE risk to 0.25% per trade
- ONLY take A++ setups (perfect conditions)
- MAXIMUM 1 trade per day
- Consider pausing for 2-3 days

IF account is within 2% of maximum drawdown:

- STOP TRADING
- You've essentially lost. Don't make it worse.
- Preserve what's left (some firms refund partial fees)
- Review, learn, try again with fresh eyes

Firm Comparison Quick-Glance

BEST FOR BEGINNERS:	The 5%ers (no time limit, low pressure)
BEST REPUTATION:	FTMO (gold standard, reliable payouts)
BEST VALUE:	MyFundedFX (competitive pricing)
BEST FOR SCALPERS:	Funded Next (scalping allowed)
LEAST RESTRICTIVE:	Surge Trader (1-phase, no time limit)
BEST SCALING PLAN:	FTMO (up to \$2M with good performance)

FINAL WORDS

Right. Let me leave you with this.

Passing a prop firm challenge is not about being a genius trader. It's not about having some secret indicator or magic strategy.

It's about discipline. It's about waiting. It's about taking 4-8 perfect trades in a month and NOT taking the 30 garbage ones your brain screams at you to take.

The maths is on your side. The time limit is generous. The profit target is achievable.

The only thing standing between you and a funded account is YOU. Your discipline. Your patience. Your ability to follow a plan when every emotion tells you not to.

So go pass that challenge. And when you do — come back and scale up.

See you on the other side.

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